Choose your poison: The Company Store vs. Data Colonialism as a Means of Understanding the Exploitative Potential of Asymmetry in Data Collection and Service Provision

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> You load 16 tons, what do you get?
>
> Another day older and deeper in debt
>
> St. Peter, don't you call me ‘cause I can’t go
>
> I owe my soul to the company store
>
> -Travis 1955

Introduction

This paper examines the metaphor of data colonialism (Couldry and Mejias 2018; Ricaurte 2018; Risam 2019), particularly as applied to the commercial data practices of “big tech.”

In particular it questions the accuracy of the economic model implied by this metaphor, arguing that while current data practices are exploitative, they differ in several important ways from the historical practice of colonialism. Historically, colonialism involved the violent subjugation of external territories and nations in order (primarily) to benefit a “home” market (e.g. extracting resources and labour from India or Africa in order to improve the offerings available to British customers; Loomba 2015); but the data practices of big tech extract resources and labour from the people to whom they sell that same data and services: exploiting, in other words, the resources and labour of customers *within* the same market in which they operate (extracting labour and resources from customers in England, Bangladesh, and the USA in order to sell those resources back to the people who produced them).

As we shall demonstrate, this practice is better understood as a variation on the “company town”: an exploitative system in which an employer both extracts labour and resources from its employees and controls the infrastructure and market in which these employees live, selling back to its employees the material they produce for the vendor.

While the focus of this paper is on the data practices of big-tech, this analysis is important for researchers within the Digital Humanities. As Risam and others have argued, the archive itself is implicated in historical colonial violence (and, as we argue here, the inherent exploitation of the company town) and Open practices in research (Open Data, Open Access, etc.) can be difficult to disentangle from historically exploitative practices in (post-)colonial contexts. As Artificial Intelligence and Large Language models become increasingly common as tools within the Digital Humanities, researchers are inevitably implicated in these commercial practices.

From Data Colonialism to the Company Town Model

Couldry and Mejías position data colonialism as a continuation of five centuries of colonialism, emphasizing how human experience is appropriated for profit through surveillance and data extraction (Couldry and Mejias 2018). While the structural critique of capitalism’s evolution is valuable, this paper argues that the metaphor of colonialism fails to capture some of the distinctive features of today’s digital economies. Unlike historical colonialism, data practices occur within shared economic spaces rather than involving the extraction of resources from a distant periphery to a home market (Couldry and Mejías 2018). The relationship between tech companies and users is asymmetrical, and yet often technically consen-

sual, governed by terms of service agreements that frame user participation in terms of agreement and an exchange of services/resources rather than coercion and violence (Crawford, 2015).

A highly asymmetrical but technically consensual relationship between "employee," "employer," "vendor," and "customer" is, however, characteristic of the company town (Zukin 2015; Garner 1992; Dinius and Vergara 2011). Company towns operate a centralized economic power and provide housing, services, and employment while simultaneously extracting value from workers and exerting monopolistic control over essential goods (Porteous 1974; Boal 1995).

Digital platforms operate using a similar model: they offer services such as connectivity, information, and social infrastructure while binding users into ecosystems that extract data and labour as a form of rent (Srnicek 2017). Platforms like Google, Facebook, and Amazon function as monopolistic entities (Zuboff 2019) that consolidate power through network effects and data accumulation (Van Dijck, Poell, and de Waal 2018). Users become reliant on these platforms for access to various goods and services, exacerbated by the platforms' governance structures that use proprietary algorithms to provide users with information while subjecting them to terms of service that restrict user autonomy and ensure that attempts to extract redress are carried out on the company's terms (through arbitration in friendly jurisdictions, for example, rather than through the courts; Pasquale 2015).

Company towns were also known for restricting workers' financial mobility through scrip, a company-issued currency that is redeemable only within the company's ecosystem. In the digital space, users exchange personal data for access to "free" or "low price" services, creating a similar dynamic of constrained choice and economic dependency

(sometimes this involves the use of scrip itself in the form of points, or tokens that are "earned" by providing data or actions for the vendor in order to earn a currency that can be used solely to buy additional services from that same vendor). In this way, platforms profit not only from data extraction but also from charging fees (i.e. "rent") for participation in digital economies, such as app store commissions and advertising revenues.

Finally, the company town metaphor also highlights the paternalistic control that tech companies exert over users. Just as company towns designed housing, services, and community structures to align with corporate interests, platforms design user interfaces, algorithms, and ecosystems that prioritize profit over user autonomy (Garner, 1992; Vitale, 2013). This is a structured control that transcends mere economic exploitation of the platform users and extends into social and cultural realms, shaping not just how people interact with technology and one another but also determining when they can do so and under what condition.

The Limitations of the Data Colonialism Metaphor

The framing of technology users as "metaphorical subalterns" or "serfs" obscures the degree to which tech platforms provide their customers with an illusion of agency. In contrast to the violent subjugation of colonial peoples, customers of big-tech exchange their labour and resources (e.g. personal data) for services such as connectivity, convenience, and access to information (Noble 2018). By oversimplifying (and flattening) the relationship between users and platforms, the colonial metaphor can prevent us from seeing the far more subtle exploitation that is created by economic asymmetry within the contemporary digital economy (cf. Thatcher, et al. 2016). Acknowledging the active role users in these ecosystems play allows one to better understand the implications of data practices — both commercial and those used by researchers within the Digital Humanities as well as the potential for resistance and reform.

Towards a New Framework for Digital Economies

By focusing on dependency, economic extraction, and monopolistic control, the company town model captures asymmetries of power through which platforms consolidate power and profit that are not visible within the colonial metaphor. It also opens pathways for addressing these dynamics through policy and regulation.The company town model emphasizes the relational dynamics between users and platforms and highlights how users sometimes find themselves in a position of reliance on a singular entity for essential services.

For Digital Humanities researchers as well, this model provides a useful understanding of places in which data and service practices may have an unintended exploitative effect. A key element in the ethics of all community-focussed research, for example, involves the concept of "giving back to the community." Without care, however, the relationship between researcher and community can quickly become as asymmetrical as that between big tech and the users of commercial software and services (Christen 2012). Researchers need

to ensure that community users are not "locked in" (however inadvertently) to research-supplied platforms and understandings of problems and resources.

Just as the promotion of decentralized and open-source alternatives to services supplied big tech can be used to challenge the dominance of corporate-controlled digital ecosystems in order to prioritize privacy, autonomy, and equitable access (Kelty 2008), so too research projects need to ensure that they are open to alternate users and access to the data and services they provide.

Conclusion

The company town metaphor offers a robust framework for understanding the economic and social dynamics of big tech's data practices. It challenges the limitations of the data colonialism metaphor, advocating for a more precise and actionable critique of platform capitalism. This shift not only advances theoretical debates but also equips scholars, educators, and policymakers with the tools to address the ethical and social implications of digital dependency.

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